

What To Do About Membership Churn?

C-Suite Presentation for Blend Beauty

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Our Problem

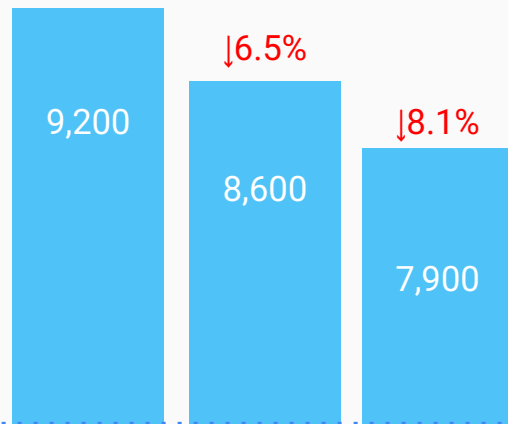
Subscription memberships have decreased a total of **14.1%** over the past 3 quarters. Q1 churn was **25%** higher than Q4.

Q4 '24	6.52%
Q1 '25	8.14%

Churn Rate

Hypothetical
Data

Active Memberships



Q3 '24

Q4 '24

Q1 '25



The Goal

Identify key **internal and/or external factors** contributing to membership churn through a **member survey** and **A/B testing**.

Survey

Survey Objectives

What are we aiming for?

1. Assess customer satisfaction
2. Evaluate the perceived value for the cost / price sensitivity
3. Understand the impact of economic changes
4. Identify key factors of cancellation and retention

Survey Plan

How will we conduct the survey?

- **Churned members:** survey anyone that cancelled within the past 6 months
- **Active members:** survey members who have had an ongoing subscription for the past 6 months
- Survey versions will vary slightly for churned vs. active members to reflect their current status
- Surveys will be sent out via **email**
- To encourage completion, provide a **20% off coupon code** after submission for any product in the store

3,000 qualified
active members

1,350 qualified
churned members

Expected Insights

Membership Satisfaction	How do members feel about the current subscription offerings? Does the membership meet their expectations based on how it was advertised?
Pricing Perception	Is pricing a primary driver of cancellations? Do members feel the subscription is worth the cost?
Economic Factors	Are members cancelling due to financial pressure, reduced discretionary spending, or economic uncertainty?
Retention & Cancellation Drivers	What are the perks most used by active vs churned members? Do any perks motivate retention vs cancellation?

Sample Survey Questions

[Access Full Survey Here](#)

Likert Scale

Has concern about inflation or rising prices made you more cautious about recurring expenses?

Multi-Select

Which membership perks are the most valuable to you?

Multiple Choice

In the past 6 months, how has your overall spending on beauty and self-care changed?



What We Found

Churn Factors	Pricing Insights	Usage Behavior
30% of churned users said it was too expensive	Most acceptable price: \$16–\$25/month	Least-used perk: Exclusive Tutorials
But top issue was low perceived value	40% of churned users would rejoin if improved	Churned users used fewer perks overall
16.8% canceled without major financial stress		Retention appears linked to active perk engagement
35% cut back on beauty/self-care spending		

A/B Test: Membership Tiers

Rationale

- **Problem:** Survey results showed that member churn was primarily driven by low perceived value, with churned members using fewer perks overall
- **Potential solution:** Pivot to a tiered membership that allows customers to choose the price point and perks that work best for them
- **Hypothesis:** Retention rates after introduction of tiered membership will be higher than retention prior to introduction of tiered membership

Membership Tiers

Basic Blend	Original Blend	VIP Blend
\$20/month includes: • Free shipping • Monthly blind box	\$35/month (original price) includes: • Free shipping • Monthly blind box • New product early access • Exclusive tutorials	\$50/month includes: • Free shipping • Monthly blind box • New product early access • Exclusive tutorials • 2-day shipping on new releases • Bonus full-sized product in monthly blind box

Analysis

- Compare retention rates for current customers before and after introduction of tiered membership system (within-subjects design)
 - Control (A): Retention for three months prior to conversion
 - Treatment (B): Retention for three months after conversion
- Analytic approach: t-test to assess significant differences in churn rates

Actionable Insights

- Analysis will determine whether allowing customers to pick their own price point/value added improves retention rates
- Changes to retention rates may provide insights to help guide additional membership tier adjustments as necessary